Rs 1 lakh crore for the first time in financial year 2020–21 in October when gross collections were Rs 1,05,155 crore. In every month since then, collections have exceeded Rs 1 lakh crore, signifying normality of goods and services production and distribution in the economy. Collections were Rs 1,04,963 crore in November and Rs 1,15,174 crore in December 2020. GST collections maintained good growth in January at Rs 1,19,847 crore. In February, they fell a little but still remained at a high rate of Rs 1,13,143 crore.

The shorter collections of tax revenues under the GST system led to the states requiring compensation as they were guaranteed compounded revenue growth of 14 per cent over their base revenues of financial year 2016–17. The underperformance of the GST system is best illustrated by the experience of 2019–20, which was otherwise a normal year. All the twenty-eight states and the union territory of Delhi required compensation with the shortfall in some states being higher than 10 per cent: Delhi 16 per cent, Haryana 10 per cent, Karnataka 11 per cent, Punjab 20 per cent and Uttarakhand 11 per cent. Total shortfall was as high as Rs 1.65 lakh crore.

GST Budgeting and Accounting in the Central Government

GST budgeting in government accounts is quite complicated.

GST receipts are primarily in four accounts: State GST (SGST) and Union Territories GST (UTGST), Central GST (CGST), Integrated GST over Inter-State and Import Transactions (IGST) and Compensation Cess (to pay for the shortfall in the assured compounded growth of 14 per cent for the states). CGST, IGST (year-end balance), Compensation Cess and Union Territories GST are budgeted by the Central government. SGST revenue is budgeted only by the states as this receipt is directly credited to their respective Consolidated Funds.

IGST is first credited in the Consolidated Fund of India (CFI) and then distributed as per the IGST rules of allocation. An ad hoc approach has been